

NextEra Energy, Inc.

NEE NYSE

Buy	\$87.25 ▼ 0.46%	12M Price Target \$102.00	52-Week Range \$66.77 – \$98.75	Market Cap \$181.97B
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NEE: Reiterate Buy; Data Center Demand and Dominion Optionality Underpin Setup

WHAT'S CHANGED

- Insider Monkey (5/28) flags NEE positioning around data center load growth tied to Dominion Energy M&A speculation — incremental narrative supporting renewables/grid build-out demand thesis.
- Morgan Stanley reiterated bullish stance despite a PT cut (5/26); stock has drifted -2.7% over the past five sessions to \$87.25, now sitting at 64% of 52-week range on stable volume (~11-13M/day).

IMPLICATIONS

The convergence of data-center driven power demand commentary and competitive positioning vs. Dominion reinforces NEE's structural advantage as the largest US renewables developer with a regulated FPL anchor. With Energy ETFs down -4.77% over five days while NEE is only modestly weaker, NEE is decoupling from commodity-linked energy peers and trading more as a regulated-growth utility — consistent with our framework that views NEE as a power-demand secular winner rather than a hydrocarbon proxy. Near-term, the lack of fresh SEC filings keeps focus on macro rates and the AI/data-center capex narrative as the swing factors.

VALUATION

At \$87.25, NEE trades ~23.9x FY26E EPS of \$3.65 and ~14.8x EV/EBITDA — a premium to regulated utility peers (~18-19x P/E) justified by mid-to-high single-digit EPS growth, ~300GW renewables pipeline, and FPL rate-base expansion. Our \$102 PT implies ~17% upside via 25x FY27E EPS of \$3.95 plus dividend, with multiple expansion driven by data-center PPA wins. Downside to \$75 (bear) reflects rate-driven multiple compression to ~20x and slower backlog conversion.

KEY RISKS

- Long-duration rate sensitivity: 10Y UST backup pressures regulated utility multiples and project IRRs on NEER renewables development.
- Policy risk: IRA tax credit modifications under shifting political winds could impair renewables project economics and backlog NPV.
- Florida regulatory: FPL rate case outcomes and hurricane-driven capex recovery timing affect earned ROE.

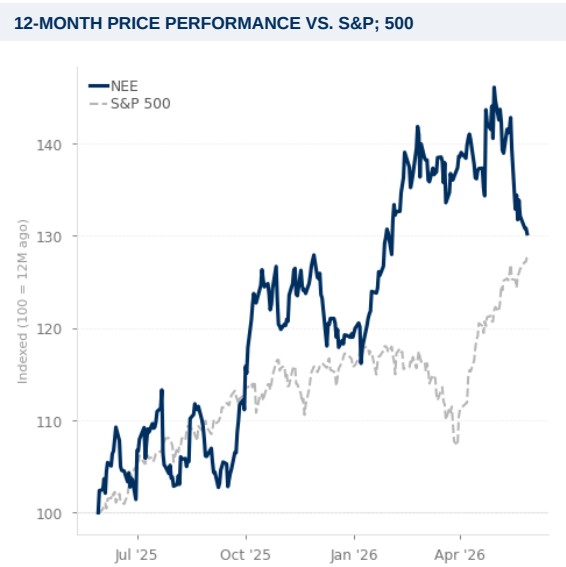
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Key Data	
Price (USD)	\$87.25
12M Price Target	\$102.00
Upside / (Downside)	+16.9%
Market Cap	\$181.97B
FY2026E Revenue	\$28,900M
FY2027E Revenue	\$31,200M
FY2026E EPS	\$3.65
FY2027E EPS	\$3.95
Fwd P/E	23.9x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$94.00	\$89.00	\$82.00
6 Months	\$102.00	\$94.00	\$78.00
1 Year	\$112.00	\$102.00	\$75.00
2 Years	\$130.00	\$115.00	\$70.00
5 Years	\$175.00	\$145.00	\$80.00
10 Years	\$240.00	\$190.00	\$90.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare, Consumer Discretionary

COLD SECTORS: Energy, Consumer Staples

ROTATION WATCH: Energy's -4.77% 5-day drawdown suggests rotation away from oil/gas; regulated utilities and renewables-linked names should attract defensive capital seeking growth + yield as rate-cut expectations build.

BYPRODUCT PLAY: Data-center power demand benefits grid infrastructure (GEV, ETN), nuclear restarts (VST, CEG), and transmission build-out — NEE captures both renewables and FPL-side load growth.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Nuclear baseload PPAs with hyperscalers driving multiple re-rating well above traditional utility comps.
- VST (Vistra Corp): Texas merchant + nuclear positioning capturing data center demand premium; relative strength vs. broader Energy weakness.

NEE CONTEXT: NEE is holding up materially better than the Energy ETF (-4.77% 5D) but lagging pure-play nuclear/data-center beneficiaries. Relative performance suggests the market is still pricing NEE primarily as a regulated utility rather than a full data-center power play — creating optionality if Dominion narrative crystallizes.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$84-87 on pullbacks; add below \$82

Time Horizon: 12-24 months

Thesis Invalidation: FPL ROE compression, IRA repeal risk materializes, or backlog growth <10% YoY

Hedging: Pair long NEE vs short XLU or long-duration TLT puts to isolate alpha